

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-10

TZ SSE Buyer, LLC, Complainant v. Yang Ming Marine Transport Corp., Respondent

**COMPLAINANT TZ SSE BUYER, LLC'S
PROPOSED FINDINGS OF FACT**

Pursuant to 46 C.F.R. § 502.214, Complainant TZ SSE Buyer, LLC submits the following Proposed Findings of Fact (“CPFF”) in support of its Initial Brief:¹

I. Introduction.

1. This case arises from a Verified Complaint originally filed on February 14, 2024, by Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”), alleging that Respondent Yang Ming Marine Transport Corp. (“Respondent”) violated the Shipping Act of 1984. **(Doc. No. 1.)**

2. On September 27, 2024, the former complainants, Impact Products and Safety Zone, filed a motion for leave to amend the Verified Complaint. **(Doc. No. 13.)** In the motion, they requested that TZ SSE Buyer, LLC (“Complainant”) be substituted as the sole complainant following their Chapter 11 bankruptcy and the sale of all of their assets, including all claims and causes of action, to Complainant. **(Id.)**

3. On October 4, 2024, the Presiding Officer granted the motion, and the Verified Amended Complaint was filed on the same date. It was subsequently served on Respondent on October 8, 2024. **(Doc. No. 14.)**

4. In the Verified Amended Complaint (the “Complaint”), Complainant, as the successor-in-interest to Impact Products and Safety Zone, alleges that Respondent violated 46 U.S.C. § 41102(c) and the Federal Maritime Commission’s (“FMC” or “Commission”) Interpretive Rule on Demurrage and Detention by failing to establish and enforce just and reasonable practices related to the receipt, handling, storage, and delivery of cargo. **(Doc. No. 15, ¶¶ 12, 19, 32.)**

¹ Exhibits cited in Complainant’s Proposed Findings of Fact are included in Complainant’s Appendix. Additionally, ‘Doc. No.’ refers to documents filed in the docket for this proceeding under FMC Docket No. 24-10.

5. Specifically, Complainant asserts that Respondent imposed demurrage, detention, per diem, and yard storage charges on Impact Products and Safety Zone, through Laufer Group International (“Laufer”), during 2021 and 2022. (*Id.* ¶¶ 14–15.) These charges were assessed for delays caused by systemic issues beyond the control of Laufer, Impact Products and Safety Zone, including port congestion and equipment shortages. (*Id.* ¶¶ 3–4, 23–24.)

6. Complainant further alleges that Respondent’s practices constitute an unreasonable refusal to deal or negotiate in violation of 46 U.S.C. § 41104(a)(10). (*Id.* ¶¶ 13, 34.)

7. In its answers to the Complaint, Respondent denies or claims to lack knowledge of all allegations made by Complainant in the Complaint. (**Doc. No. 21, ¶¶ 2–9.**)

II. The Parties and Their Roles.

A. Complainant and Its Role in Representing Injured U.S. Shippers.

8. Complainant is a Delaware limited liability company that acquired all assets of Impact Products and Safety Zone, including all rights and causes of action, through their bankruptcy sale. (**Doc. 13, p. 2 (Exhibit 2); Doc. 15, ¶ 2.**) This acquisition specifically included the claims brought in this case against Respondent. (**Doc. 13, p. 2 (Exhibit 2); Doc. 15, ¶ 2.**)

9. Impact Products and Safety Zone were leading U.S. based suppliers in their respective industries. (**Doc. No. 15, ¶ 6.**) Impact Products specialized in manufacturing and distributing cleaning supplies and accessories, while Safety Zone focused on safety equipment and personal protective equipment. Both companies operated under the parent corporation Supply Source Enterprises, Inc. (“Supply Source”). (*Id.*)

10. Impact Products and Safety Zone were considered “shippers” under to 46 U.S.C. § 40102(23). (**Doc. No. 15, ¶ 6.**)

11. In May 2024, Supply Source and its affiliates, including Impact Products and Safety Zone, filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055 (Bankr. Del.). (**Doc. No. 15, ¶ 2.**)

12. On July 10, 2024, all assets of Impact Products and Safety Zone, including all rights and causes of action, were sold to Complainant TZ SSE Buyer, LLC as part of a Chapter 11 bankruptcy sale. (**See Doc. No. 15, ¶ 2; Doc. No. 13, pp. 2–3 (Exhibit 2).**)

B. Respondent Yang Ming’s Role as a Global Ocean Carrier and Its Responsibilities Under the Shipping Act.

13. Respondent is a global ocean carrier, as defined under 46 U.S.C. § 40102(18), regulated by the Federal Maritime Commission (“FMC”). (**Doc. No. 15, ¶¶ 8–9, 11; Ex. 2, CX_000016.**)

14. Headquartered in Taiwan, Respondent operates across numerous countries, including the United States. (**Doc. No. 15, ¶¶ 8–9, 11; see Ex. 2, CX_000016.**)

15. Respondent conducts its business operations in the United States through its agent, Yang Ming (America) Corp, a company existing under the laws of the State of Texas with offices located at 3250 Briarpark Drive, Suite 201, Houston, TX 77042. (**Doc. No. 15, ¶¶ 8–9, 11.**)

16. As a common carrier, Respondent provides containerized cargo transportation services to shippers around the world. (**Doc. No. 15, ¶¶ 8–9, 11; Ex. 2, CX_000016.**) These services involve receiving, handling, storing, and delivering goods using its fleet of ocean vessels and a comprehensive logistics network. (**Doc. No. 15, ¶¶ 8–9, 11; see Ex. 2, CX_000016.**)

17. Under 46 U.S. Code § 41102(c), Respondent is required to establish, observe, and enforce just and reasonable practices in its handling and transportation of cargo. Additionally it must comply with FMC guidance regarding demurrage and detention charges. (**Doc. No. 15, ¶¶ 8–9, 11–12.**)

18. During 2021 and 2022 (the “Relevant Period”), Respondent transported Impact Products’ and Safety Zone’s goods from ports outside of the United States to United States ports, container yards, or rail yard for further inland distribution using its shipping containers and ocean vessels. **(Doc. 15, ¶¶ 14–15; Ex. 1, CX_000003–000005.)**

19. These shipments were arranged and coordinated through Laufer Group International (“Laufer”), a non-vessel operating common carrier (“NVOCC”) acting as Impact Products’ and Safety Zone’s intermediary. **(See id.)**

20. Respondent either leases terminal space at U.S. ports or owns terminal space, either partially or fully, at certain locations. **(Ex. 2, CX_000019.)** Specifically, Respondent holds an ownership interest in its terminal space at the Port of Los Angeles. **(Id.)**

21. Respondent has acknowledged that it regularly assesses demurrage, detention, per diem, and other accessorial charges as part of its normal, customary, and continuous business practices. **(See Ex. 2, CX_000017.)**

C. Laufer’s Role as an Intermediary.

22. Laufer is a global logistics company and a registered NVOCC, as defined under 46 U.S.C. § 40102(17). **(Doc. 15, ¶¶ 14–15.)**

23. During 2021 and 2022, Impact Products and Safety Zone contracted with Laufer to manage the transportation and delivery of goods they purchased overseas. **(Id.; Ex. 1, CX_000002–000004.)**

24. Laufer handled all logistics associated with these shipments, including securing container space and arranging transport on ocean carrier vessels to ensure the goods were shipped from outside the United States to the United States. **(Doc. 15, ¶¶ 14–15; Ex. 1, CX_000002–000004.)**

25. To fulfill this role, Laufer entered into agreements with Respondent to secure container space on Respondent's ocean vessels and coordinate shipping services for Impact Products' and Safety Zone's cargo. **(Doc. 15, ¶ 11; CX_000002–000004; see Ex. 2, CX_000020.)**

26. Once the containers carrying Impact Products' and Safety Zone's goods arrived at U.S. ports and were offloaded from the vessels to Respondent's terminals within the ports or to a container yard or rail yard, Laufer arranged for drayage companies to pick up the containers, deliver them to their next destination, and return the empty containers to the designated location. **(Ex. 1, CX_000002–000003.)**

27. Laufer used the following drayage companies: (1) Transnet, Inc.; (2) Sunburst Truck Lines, Inc.; (3) Galasso Trucking, Inc.; (4) Itz- Ohlson Transport, Inc.; (5) Sunteckts, a Mode Global Company; (6) D&M Trucking Services; (7) Golden State Logistics; (8) Miken Cartage, Inc.; (9) Steam Logistics LLC; (10) RoadOne IntermodaLogistics, Inc.; (11) Total Quality Logistics, LLC; and (12) Forward Air Freight Inc. **(Ex. 3, CX_000028–29.)**

28. In addition to booking and coordinating logistics, Laufer was responsible for handling billing. **(Ex. 1, CX_000003–000004.)** Laufer received charges from the drayage companies, which were issued by Respondent and included demurrage, detention, per diem, and yard storage fees. **(Id.)** Laufer then passed these charges on to Impact Products and Safety Zone without any markup. **(Id.)**

29. During the Relevant Period, Impact Products and Safety Zone, through Laufer, shipped 2,149 containers (collectively referred to as "Relevant Containers") using Respondent's ocean vessels. **(Doc. No. 15, ¶¶ 14–15; Ex. 1, CX_000002–000004.)** Respondent imposed demurrage charges on 309 containers, detention charges on one container, per diem charges on 39 containers, and yard storage charges on 358 containers, amounting to a total of \$1,304,526.00

(collectively referred to as the “Charges”). **(Doc. No. 15, ¶¶ 14–15; Ex. 1, CX_000002–000004; Ex. 4, CX_000032–58.)**

30. Although Laufer invoiced Impact Products and Safety Zone for the charges, it acted solely as a conduit for Respondent’s assessments. **(Doc. No. 15, ¶¶ 14–17; Ex. 1, CX_000003–000005.)** Impact Products and Safety Zone paid Laufer the full \$1,304,526.00, which Laufer then used to pay Respondent. **(Doc. No. 15, ¶¶ 14–17; Ex. 1, CX_000003–000005.)**

31. On April 4, 2024, Laufer formally assigned the claims arising from these charges to Impact Products and Safety Zone. **(Doc. No. 15, ¶¶ 17 (Exhibit A); Ex. 1, CX_000003–000004.)**

III. Unprecedented Port Congestion and Equipment Shortages

A. Severe Chassis Shortages and Port Congestion Were Widely Known Throughout the Industry.

32. During the Relevant Period, the shipping industry faced unprecedented challenges stemming from severe equipment shortages, and widespread port congestion. **(Ex. 6, CX_000072.)**

33. These systemic issues, exacerbated by the COVID-19 pandemic, were widely reported and well-known throughout the industry, including by regulatory authorities such as the Federal Maritime Commission (“FMC”). **(See generally, Ex. 5, CX_000063–66; Ex. 6, CX_000072; Ex. 7, CX_000074–000087; Ex. 8, CX_000089–101.)**

34. According to the FMC’s 61st Annual Report for Fiscal Year 2022, during fiscal year 2022, U.S. exporters and importers dealt with supply chain challenges, including port congestion, significant demurrage and detention charges, and a lack of appointments, equipment, and vessel space. **(Ex. 6, CX_000072.)**

35. A surge in consumer demand, combined with port bottlenecks and equipment imbalances, created cascading disruptions throughout the supply chain. **(See generally, Ex. 5, CX_000063–66; Ex. 6, CX_000072; Ex. 7, CX_000074–000087; Ex. 8, CX_000089–101.)**

36. For example, at the Port of Los Angeles, import volumes surged by 27% in June 2021 compared to the previous year, while the number of empty containers increased by 47%. This led to severe congestion, making it increasingly difficult to unload containers and move them out before free time periods expired. **(See Ex. 8, CX_000093.)**

37. As a result, equipment shortages worsened, further straining U.S. exporters and importers' ability to manage freight operations. **(See generally, Ex. 5, CX_000063–66; Ex. 6, CX_000072; Ex. 7, CX_000074–000087; Ex. 8, CX_000089–101.)** The imbalance in container and chassis availability caused containers to remain stuck at ports, compounding delays and hindering cargo movement. **(Id.)**

38. These widespread issues directly impacted Impact Products' and Safety Zone's ability to retrieve and return containers in a timely manner. **(Ex. 1, CX_000005.)**

39. Specific evidence of these challenges is reflected in an email dated February 10, 2021, from Miken Cartage Inc., a drayage company used by Laufer to transport the Relevant Containers, to Laufer. The email states:

Hello guys

Just want to bring to light what we are going through here ... There is a severe chassis shortage and there is severe congestion at all of the rails which is hampering our ability to get containers pulled and returned with[in] the free time... I know you understand we do everything in our power to get your containers off of the rail in the free time and are good stewards of your business. Things are just extremely tough right now, extremely.

(Ex. 9, CX_000103–000105.)

40. Similarly, in an email dated January 11, 2021, from Forward Air Freight, Inc., another drayage company used by Laufer to transport the Relevant Containers, the staff highlighted the severity of the chassis shortage:

Pl[ease] remember chassis are the issue[.] There are none around. We have to reuse the chassis that are already out. Every trucker is keeping them and not returning due to the shortage... We will keep you posted but pl[ease] do understand there are factors outside of our control and we are trying to control as much as we can.

(Ex. 10, CX_000113–000114.)

41. Numerous other examples from drayage companies to Laufer illustrate their frustrations with the unprecedented equipment shortages and congestion issues that plagued the transportation of the Relevant Containers. *(See generally, Ex. 11, CX_000126–134; Ex. 12, CX_000135–140; Ex. 13, CX_000141–150.)*

B. Laufer Warned Respondent About These Challenges, and Respondent Acknowledged Its Awareness of These Issues.

42. Emails exchanged between Laufer and Respondent demonstrate that Laufer explicitly informed Respondent of the severe equipment shortages and congestion issues impacting container pickups. For example, in an email dated June 22, 2022, Safety Zone informed both Laufer and Respondent about delays related to one of the Relevant Containers, stating:

"[T]here is a chassis shortage and the trucker will pick this up as soon as they can."
(Ex. 14, CX_000152.)

43. Similarly, in an email dated June 23, 2022, Laufer directly informed Respondent about the ongoing challenges in securing chassis for container pickups. When Respondent inquired about the pickup schedule for one of the Relevant Containers, Laufer responded:

"Hello Joann, There is a big problem with chassis as you are probably aware of. Trucker will pick up once they have chassis." **(Ex. 15, CX_000163.)**

Despite this clear communication, Respondent continued to send perfunctory one-word “reminder” emails every other day and shared a demurrage bill that Laufer was responsible for paying. (*Id.* CX_000160–000163.)

44. In an email chain dated May 26, 2022, Mike Cartage, one of Laufer’s drayage providers, informed Laufer and Respondent:

“[Safety Zone] has a large volume of containers, and we are managing the best we can considering the severe deficit of chassis ... We are quite aware of the containers we have to move and are prioritizing things as best as we can.” (*Ex. 16, CX_000170.*)

In the same email exchange, Laufer advised Helen from Respondent:

“Trucker will pick up as soon as they resolve chassis issue.” (*Id.*)

45. The emails exchanged between Laufer, the drayage companies responsible for transporting Impact Products’ and Safety Zone’s goods, and Respondent were corroborated by deposition testimony from Respondent’s corporate representative, Ms. Osana Anki (“Ms. Anki”), Assistant Vice President of Import Customer Service for Yang Ming America Corporation.

46. During her deposition, Ms. Anki admitted that Respondent was aware of the severe chassis shortage during the Relevant Period. (*Ex. 2, CX_000023.*) She testified that Respondent’s employees were informed about these shortages by truckers. (*Id.*)

47. Ms. Anki further testified that Respondent was aware of widespread port congestion and equipment shortages through the Relevant Period. (*Id. CX_000021–22.*) She acknowledged that these issues were significant and pervasive, impacting operations across multiple levels. (*Id.*)

48. Moreover, Ms. Anki admitted that Respondent’s vessels experienced delays and were unable to be ‘processed’ at U.S. ports due to these conditions. (*Id.*) As a result, Respondent’s vessels were left idling in the ocean, causing financial losses. (*Id.*) She also conceded that

containers piled up at U.S. ports during the Relevant Period, further exacerbating congestion issues. (*Id.*)

49. Ms. Anki also noted that drayage companies faced significant challenges accessing ports and Respondent's terminals, testifying that truckers "stayed in line ... longer than usual." (*Id.* CX_000022.)

50. Collectively, Ms. Anki's testimony and the email correspondence between Laufer, the drayage companies, Impact Products/Safety Zone and Respondent establish that Respondent was fully aware of the widespread challenges caused by chassis shortages, port congestion, and operational delays during the Relevant Period.

51. Despite this awareness, Respondent continued to impose demurrage charges, disregarding the systemic barriers that made compliance with its demands impossible for Laufer and Impact Products and Safety Zone. (Ex. 1, CX_000002–000005.)

IV. Respondent Failed to Provide Substantive Responses to Complainant's Discovery Requests, Including Relevant Email Communications With Laufer Related to the Relevant Charges.

52. Throughout discovery, Respondent consistently failed to provide substantive responses to Complainant's interrogatories and requests for production. (Ex. 18, CX_000191–201.)

53. Complainant sought critical information and documents, including all communications between Impact Products/Safety Zone, Laufer, the drayage companies, and Respondent regarding the Relevant Containers and the Charges. (Ex. 17, CX_000177–190.) These requests were made through Interrogatory Nos. 5, 7–8, 11, 14, and 17, and Requests for Production Nos. 4–7, 14, 17, and 19. (*Id.*) Instead of complying, Respondent issued general objections and refused to identify or produce the requested materials. (Ex. 18, CX_000191–201.)

54. Despite repeated requests, Respondent also failed to produce any master bills of lading for the Relevant Containers and Charges. These requests were made through Interrogatory Nos. 10 and 14, and Requests for Production Nos. 3 and 11. **(Ex. 17, CX_000177–190.)**

55. Instead, Respondent provided only nonnegotiable seaway bills, which lack critical details typically found in master bills of lading, such as terms and conditions information. **(Ex. 19, CX_000202–000205; Ex. 2, CX_000020.)** These incomplete documents were insufficient to verify the underlying transactions or assess the basis for the Charges imposed by Respondent because they lacked the terms and conditions for each specific shipment. **(Id.)**

56. On July 12, 2024, Complainant’s counsel sent a deficiency letter to Respondent’s counsel, identifying Respondent’s failure to substantively respond to Complainant’s discovery requests. **(Ex. 20, CX_000206–252.)** The letter included a detailed spreadsheet listing the containers and bills of lading numbers relevant to the Complaint and requested that Respondent promptly cure the deficiencies and produce the requested documents, including all relevant communications and master bills of lading. **(Id.)**

57. Complainant’s counsel followed up with Respondent’s counsel multiple times, stressing the importance of the missing documents. **(Ex. 21, CX_000253–262.)** In response, Respondent’s counsel claimed that no relevant email communications with Laufer, Impact Products/Safety Zone, or the drayage companies existed. Yet, counsel provided no reasonable explanation for this absence, despite the central importance of these communications to the claims in this proceeding. **(See id.)**

58. Complainant also repeatedly requested the master bills of lading for the Relevant Containers. **(Id.)** However, Respondent failed to produce these documents during discovery and

merely stated that it did not believe it possessed them, without explaining any efforts made to locate or confirm their availability. (*See id.*)

59. Respondent's refusal to produce key discovery materials, particularly email communications and master bills of lading, significantly hindered Complainant's ability to fully, with a complete record, evaluate and challenge the basis for the Charges.

V. FMC Guidance on Detention and Demurrage Charges and Respondent's Noncompliance.

A. Demurrage and Detention Charges as Tools to Incentivize Cargo Movement.

60. The Federal Maritime Commission's (FMC) Interpretive Rule on Demurrage and Detention establishes that the primary purpose of these charges is to incentivize the movement of cargo and promote freight fluidity. (**Ex. 5, CX_000063–66; Ex. 7, CX_000074–87.**) By encouraging shippers to pick up cargo and return equipment within the allotted free time, these charges aim to optimize the use of ports and supply chain infrastructure. (*See id.*)

61. This principle places the burden of congestion on those best positioned to address it—such as ocean common carriers, seaports, and marine terminal operators—while recognizing that shippers should not be penalized for delays caused by factors beyond their control. (**Ex. 5, CX_000063–66.**)

62. Under 46 U.S.C. § 41102(c) and 46 CFR § 545.5, the FMC is authorized to assess whether detention and demurrage charges are reasonable. (**Ex. 7, CX_000074–87.**) For purposes of these rules, the FMC considers demurrage and detention “to encompass any charges, including per diem, assessed by ocean common carriers, marine terminal operators... related to the use of marine terminal space or shipping containers...” (*Id.*) Charges that fail to incentivize cargo movement, or that are imposed in situations where compliance is impossible, are deemed unreasonable. (*See id.*)

63. The FMC evaluates the reasonableness of detention and demurrage charges based on several factors. These include, but are not limited to, whether the charges are tied to cargo availability, and whether carriers provide timely and clear notice of availability. (*Id.*)

64. The FMC also may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. (*Id.*) In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements. (*Id.*) Practices that disregard these considerations are likely to be found unreasonable. (*See id.*)

65. The Interpretive Rule on Demurrage and Detention is not merely advisory. It is the FMC's official interpretation of what constitutes unreasonable practices under 46 U.S.C. § 41102(c) and serves as the foundation for investigations into violations. (**Ex. 5, CX_000063–66.**) Noncompliance may result in civil penalties or other enforcement actions. (*Id.*)

66. Through Fact Finding 29 and subsequent guidance, the FMC has reinforced that detention and demurrage charges must align with their purpose of incentivizing cargo movement. Imposing charges during periods of widespread equipment shortages or port congestion—when shippers cannot reasonably comply—violates FMC principles and is subject to scrutiny. (**Ex. 5, CX_000063–66; Ex. 7, CX_000074–87.**)

B. Yang Ming's Practices Violated FMC Guidance and the Shipping Act.

67. Despite the clear guidance established by the FMC, Respondent's practices during the Relevant Period blatantly disregarded these standards during the Relevant Period.

68. Respondent continued to impose demurrage and detention charges on Laufer and the drayage companies Laufer used, even though systemic challenges—like chassis shortages and port congestion—made it impossible for Laufer to retrieve or return containers within the allotted free time. **(Ex. 1, CX_000002–000006; Ex. 4, CX_000032–000058.)**

69. These practices directly contravene the FMC’s principle that demurrage and detention charges must incentivize cargo movement rather than penalize shippers for circumstances outside their control. **(Ex. 7, CX_000074–87.)**

70. Respondent failed to adjust its assessment of demurrage and detention charges despite being fully aware of the widespread challenges during the Relevant Period. **(Ex. 14–16; CX_000151–000176.)** Rather than mitigating the impact of systemic obstacles, Respondent continued its routine charging practices without any consideration of the barriers faced by Laufer, the drayage companies used by Laufer, Impact Products and Safety Zone. **(Ex. 1, CX_000002–000005; Ex. 4, CX_000032–000058; see Ex. 2, CX_000018.)**

71. During her deposition, Ms. Anki testified that demurrage charges “have to be fair.” **(Ex. 2, CX_000017–18.)** Yet, she also admitted that Respondent’s demurrage fees increased during 2021–2022. **(Id.)** This direct contradiction—publicly acknowledging the need for fairness while simultaneously escalating fees—highlights the unreasonableness of Respondent’s practices, especially when coupled with Respondent’s knowledge of the systemic issues during the Relevant Period. **(Ex. 14–16, CX_000151–000176; Ex. 2, CX_00002123.)**

72. The demurrage invoices produced by Respondent during discovery further illustrate a lack of transparency and accountability in its demurrage practices. **(Ex. 22, CX_000263–000279.)** These invoices failed to provide any explanation of the basis for the Charges or dispute resolution information, such as how to challenge the Charges, who to contact,

or what documentation to include. **(Id.)** They also did not specify any timelines for disputing the Charges. **(Id.)**

73. This omission left shippers like Complainant without a clear process for addressing potentially erroneous or unreasonable Charges.

74. When questioned about Respondent's dispute resolution procedures, Ms. Anki, provided vague and incomplete answers. **(Ex. 2, CX_000024.)** She stated:

- "So if a client feels they want to dispute ..., they have the right to do so. They can come and dispute." **(Id.)**
- "A client can dispute, but it's all reviewed. The facts have to be provided ... And [the client must] deliver all back[up], or necessary proof must be given." **(Id.)**
- "[The client must] contact their salesperson. They can contact customer service, and they can do all that. The customer service department receive[s] [the dispute], and we process it and pass it onto the department that reviews [the dispute] ... at headquarters." **(Id.)**

75. However, when asked what factors Respondent considers in reviewing disputed charges, Ms. Anki admitted she did not know what criteria were applied. **(Id.)**

76. Respondent's own rebuttal expert, Carl Vogt, recognized the deficiencies in Respondent's dispute resolution process. In his report, he acknowledged that "while it's not impossible, negotiating demurrage charges with Respondent is challenging." **(Ex. 24, CX_000328.)**

VI. The Harm to the Injured Parties.

A. Financial Burdens Imposed by Respondent's Practices on Laufer, Impact Products and Safety Zone.

77. Respondent's disregard for FMC guidance and the Shipping Act directly resulted in significant financial harm to the Injured Parties. During the Relevant Period, Impact Products and Safety Zone, through Laufer, shipped 2,149 containers using Respondent's vessels. **(Ex. 1,**

CX_000002–000005.) Of these, Respondent imposed demurrage charges on 309 containers, detention charges on one container, per diem charges on 39 containers, and yard storage charges on 358 containers. **(Id.)** In total, Respondent assessed \$1,304,526.00 in Charges against the Injured Parties. **(Id.)**

78. These calculations are derived from the damages spreadsheet that Complainant provided to Respondent during discovery. **(Ex. 4, CX_000032 to CX_000058.)** This spreadsheet was meticulously prepared using invoices from Laufer, which detailed the Charges assessed by Yang Ming. **(Ex. 1, CX_000002–000004.)** The invoices included key information, such as the container numbers associated with each charge, the corresponding master bill of lading, and the ocean carrier responsible for transporting the cargo. **(Id.)**

79. Mr. Lawrence Hallett (“Mr. Hallett”), the former Director of Global Logistics for Supply Source Enterprises and the current Director of Global Logistics for the Tranzonic Companies, verified the accuracy of these charges. **(Id. CX_000001–000006.)** Mr. Hallett’s review ensured that the spreadsheet was an accurate and reliable summary of the Charges assessed by Respondent during the Relevant Period.

80. In addition to the financial burden of these unreasonable charges, Impact Products and Safety Zone also suffered significant operational harm. **(Id. CX_000002–000005.)** Due to the port congestion and equipment shortages that Respondent ignored, they frequently received their goods late, disrupting their supply chain and adversely affecting their ability to meet business obligations. **(Id.)**

81. The cumulative effect of these harms was devastating to Impact Products and Safety Zone. Respondent’s practices, combined with the broader systemic challenges during the

Relevant Period, contributed to severe financial strain. This strain was one of the factors that ultimately forced Impact Products and Safety Zone to file for bankruptcy.

82. Impact Products' and Safety Zone's financial and operational losses directly resulted from Respondent's refusal to follow FMC guidance and its failure to adopt reasonable practices during the Relevant Period. (*Id.*)

VII. Yang Ming's Financial Gain Contrasted With Decreased TEU Movement.

A. Expert Evidence: TEU Cargo Movement Declined While Yang Ming's Revenues Surged

83. According to the expert report of John D. McCown, Respondent's financial performance improved dramatically during the Relevant Period. (**Ex. 23, CX_000288–291.**) While Respondent's net income-to-revenue margin lagged behind the industry prior to the COVID-19 pandemic, by 2021 it was significantly outperforming or matching industry averages. (*Id.* **CX_000288–297.**) This shift was driven by aggressive pricing practices that exceeded those of many competitors. (*Id.* **CX_000837; see Ex. 25, CX_000343.**)

84. In his report, Mr. McCown observed that, despite Respondent's surging revenue, its movement of Twenty-foot Equivalent Unit ("TEU") cargo volume declined during the Relevant Period. (*Id.* **CX_000296–299.**) This decline coincided with a reduction in available vessel and terminal assets, highlighting a stark contrast between Respondent's operational activity and its significant revenue growth. (*Id.*)

85. This is significant because demurrage and detention charges are included in Respondent's total annual revenue. (*Id.* **CX_000296.**) Respondent's own rebuttal expert, Carl Vogt, confirmed that these charges are included in Respondent's annual revenue, highlighting the financial importance of these fees to Respondent's profitability. (**Ex. 25, CX_000342.**)

86. Mr. McCown's analysis further revealed that Respondent's demurrage, detention, and per diem rates at U.S. ports were between 160 and 266 times the total ownership and maintenance costs of a single container. **(Ex. 23, CX_301.)**

87. Mr. McCown also found that there was no meaningful opportunity cost associated with unavailable containers during the Relevant Period. **(Id. CX_000300–303.)** As with the broader shipping industry, Respondent's vessels were operating at full capacity between Asia and the United States. **(Id.)** This meant that a specific container's unavailability did not result in lost shipments because there was no additional vessel capacity to accommodate extra loads. **(Id.)**

88. Between the second quarter of 2020 and the fourth quarter of 2022, the top nine container carriers, including Respondent, generated \$11.7 billion in demurrage and detention income. **(Id. CX_000307–308.)** These carriers collectively represented 75.5% of the total container shipping industry revenue during this period, underscoring the significant role these fees played in the industry's profitability. **(Id.)**

89. Moreover, publications cited in Respondent's own rebuttal report confirm that Yang Ming was among the ocean carriers with the highest demurrage and detention rates during the Relevant Period, which demonstrates that Respondent's financial success was partly reliant on these charges. **(Ex. 24, CX_000334.)**

VIII. Conclusion and Relief Sought

90. The Charges assessed by Respondent caused significant financial harm to Impact Products and Safety Zone. **(Ex. 1, CX_000001–000006.)** Respondent imposed \$1,304,526.00 in total demurrage, detention, per diem, and yard storage charges on Laufer, which Laufer then passed through to Impact Products and Safety Zone without any markups. **(Id.)**

91. These excessive Charges were assessed despite systemic delays caused by port congestion and equipment shortages, over which neither Laufer nor the Injured Parties had any control. **(Id.)**

92. The financial burden of these Charges contributed to the operational and economic challenges faced by Impact Products and Safety Zone during the Relevant Period, further straining their business operations and compounding the difficulties caused by Respondent's unreasonable practices. **(Id.)**

93. Complainant, as the successor in interest to Impact Products and Safety Zone's claims against Respondent in this proceeding, seeks reparations for Respondent's unlawful conduct in the amount of \$1,304,526.00 pursuant to 46 U.S.C. § 41305, with interest pursuant to 46 U.S.C. § 41305(a). Complainant also seeks an award of reasonable attorneys' fees as "the prevailing party" under 46 U.S.C. § 41305(e) and any additional relief that the Federal Maritime Commission deems just and proper.

Dated: December 9, 2024

Respectfully submitted,

CLARK HILL PLC

/s/ Michell Pacheco

Timothy R. Herman

R. Kevin Williams

Michell Pacheco Soto

therman@clarkhill.com

kwilliams@clarkhill.com

mpacheco@clarkhill.com

130 E. Randolph Street, Suite 3900

Chicago, IL 60601

*Counsel for Complainant TZ SSE Buyer,
LLC*

CERTIFICATE OF SERVICE

I certify that on December 9, 2024, a true and correct copy of the foregoing **Complainant's Proposed Findings of Fact in Support of its Opening Brief** was served by email on all counsel of record in accordance with 46 CFR Part 502.

Attorneys for Respondent:

Edward A. Keane
Garth S. Wolfson
gwolfson@mahoneykeane.com
ekeane@mahoneykeane.com
Mahoney & Keane, LLP
40 Worth St. Suite 602
New York, New York 10013

/s/ Michell Pacheco
Timothy R. Herman
R. Kevin Williams
Michell Pacheco Soto
therman@clarkhill.com
kwilliams@clarkhill.com
mpacheco@clarkhill.com
130 E. Randolph Street, Suite 3900
Chicago, IL 60601
*Counsel for Complainant TZ SSE Buyer,
LLC*